ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 04 - ICT PROPULSION BLOCK

ICT Monthly Mentorship

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Welcome back to our discussion on reinforcing order block theory. This teaching will focus on propulsion blocks.

- A propulsion block is a candle or bar that has previously traded down into a down candle or bullish order block.

- It then takes over the role of price support for higher price movement.

DIAGRAMMATIC EXPLANATION OF A BULLISH PROPULSION BLOCK

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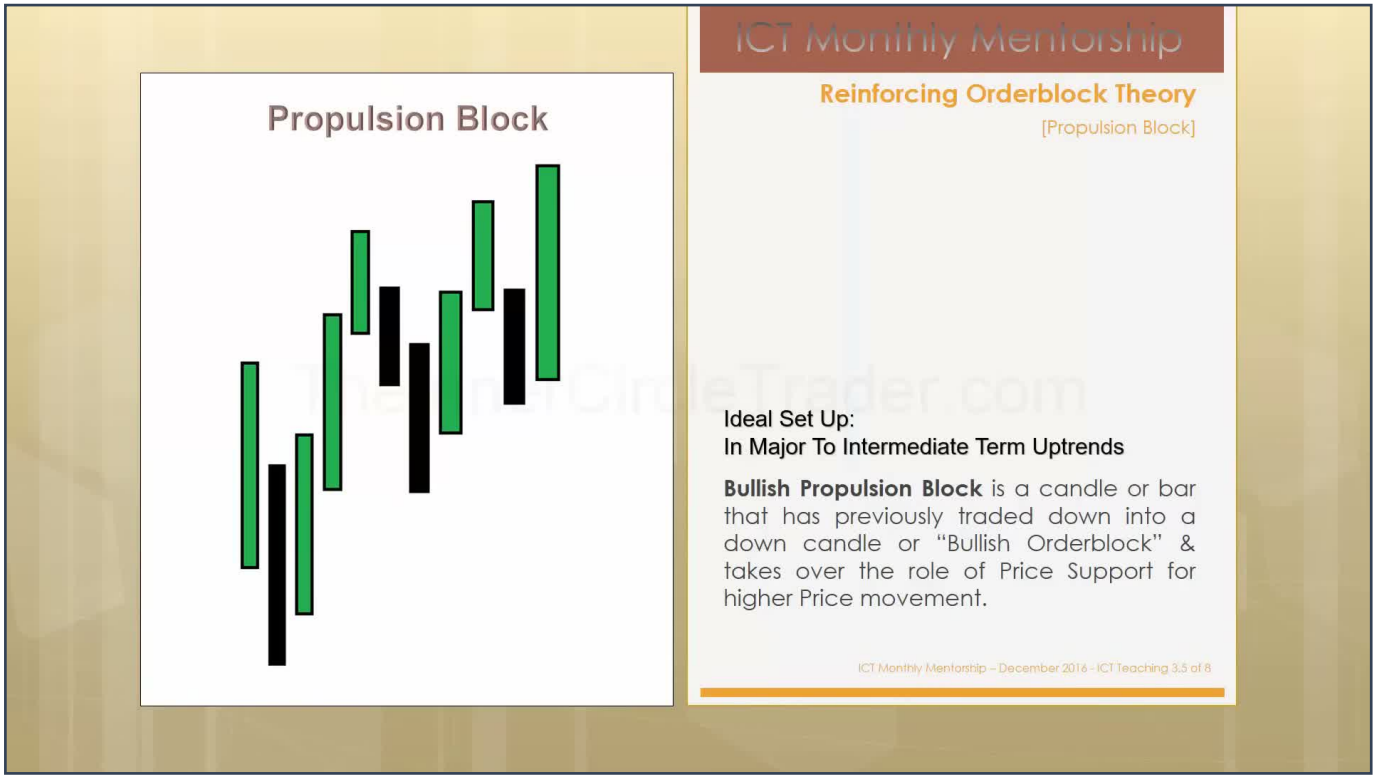

In this example diagram:

- We have a down candle which shows price willingness to move higher.

- A new down-close candle trades right back into it.

- That candle becomes a propulsion candle.

- What makes it propulsion is that it has already dropped back down into an order block that is already predisposed to go higher.

- Then we create another higher order block that touches the initial one.

SENSITIVITY AND BEHAVIOR OF BULLISH PROPULSION BLOCKS

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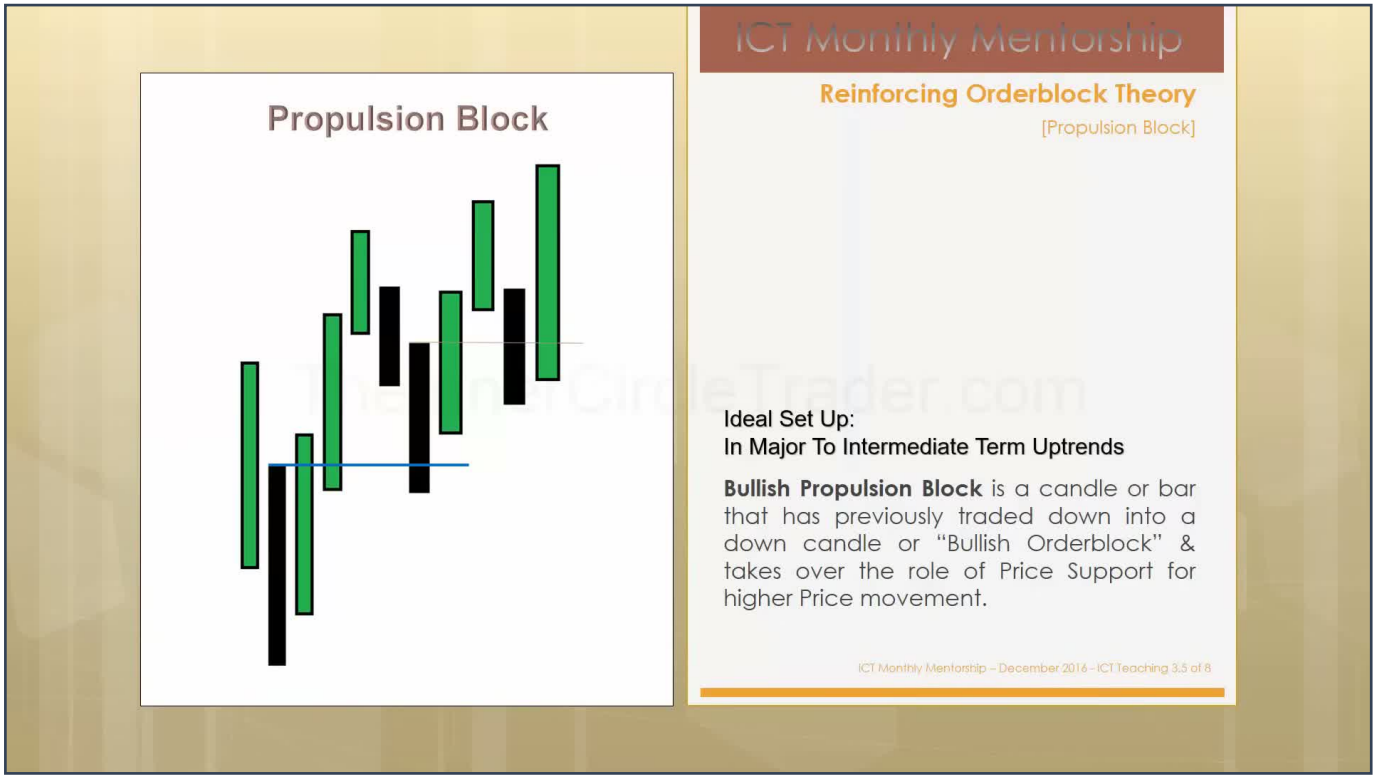

The new higher level bullish order block or down-closed candle will be highly sensitive.

- It should never see the mean threshold break (half of the body's height or the middle of the range of that candle's body).

- The mean threshold should not give way.

- The sensitivity is going to be very much more amplified when it trades back down into the high.

- We are willing to allow it to still trade down to the middle of the range or mean threshold, but most likely it will never do that.

- It just trades down into the high of the candle and immediately explodes.

- It may go a pip or two below the high of that particular down candle, which we're naming as a propulsion block.

- The market will show a sudden and violent movement away from that down candle – that's a propulsion candle.

IDENTIFYING A BULLISH PROPULSION CANDLE IN PRICE ACTION - PART 1

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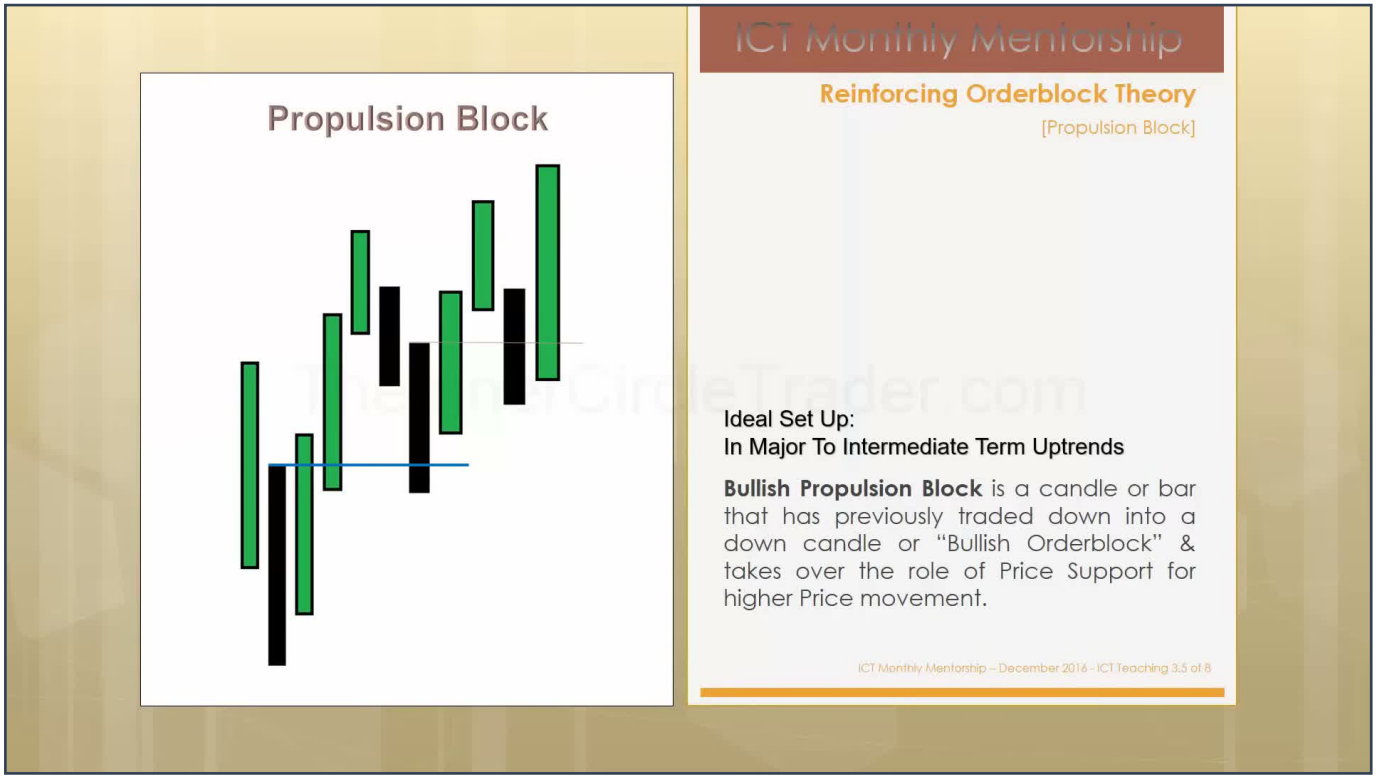

Let's take a look at a bullish propulsion candle in price action.

- Price has moved from a low, and we are on the buy side of the curve.

- The market has several down candles (three consecutive down candles forming one full bearish candle).

- The bullish order block is framed.

- Price trades all the way down to this level but falls short of equilibrium.

- So, we have a level at which price could reasonably trade down into, but it doesn't do it here.

- Price trades lower here and rallies through its own three consecutive down candles; this is the order block as well (all three candles).

- Then we have this specific down candle trading into these previous down candles.

- This entire group is considered one bullish order block because it's all down price movement reaching for a level to buy.

- Price moves through this candle, trades through the highest of the down candles, which confirms this is a bullish order block.

- The very next candle trades higher, and the next candle opens and trades down into this specific candle.

- When this candle creates the down close and closes, it becomes a propulsion candle.

- What makes it a propulsion candle is that we are trading another down candle into a previous down candle when the underlying context is bullish.

- The powerful nature of a propulsion candle is that you don't ever really see a mean threshold violation on it.

- You get an opportunity to see it trade back down into it, as it does here.

- This candle opens, trades down into it. The open comes in at 130.345. The low on this candle comes in at 130.345.

- It goes right to that candle, making it a bullish entry here with a propulsion candle.

- All it is, is a down-closed candle that trades down into a previous down-closed candle.

- This means we should see immediate responsiveness on bullish price movement higher off this down candle, should it trade back down into it again.

- Here's the clue: if we break the mean threshold of that type of candle where it's already traded down into a previous bullish order block, it's not a good trade.

- This means you can have a really ultra-tight stop loss on your long entry, or you can have immediate feedback that you're on the wrong side of the marketplace.

- Many times, you are better off either going to the sidelines or looking for a reversal to go short.

BEARISH PROPULSION CANDLE - INITIAL FRAMING

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Now, we will look at an example of a bearish propulsion candle.

- We're going to frame it around a higher bearish order block, which is this specific candle.

- Price trades up into it here, then breaks down.

- We are adding another level of order block theory: this last up candle is the bearish order block, referencing this one as well.

BEARISH PROPULSION CANDLE - ENTRY AND RESPONSIVENESS

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- Watch what happens: we have price movement lower, then we trade right back to this order block.

- This specific candle becomes the propulsion candle.

- Now, we can cut that candle in half (mean threshold); it hits it right there.

- It trades immediately lower; this is a sell entry on the bearish propulsion candle.

- We could be a seller there, and we can also use an entry at a later time where it trades right back into this candle's low.

- It trades right here, hits it, and responsiveness immediately moves lower.

KEY CHARACTERISTICS OF BEARISH PROPULSION BLOCKS

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- Look at the responsiveness after it trades into this candle.

- You have to see it break below this candle's low, which it does here.

- It's already showing a willingness not to want to go above that mean threshold here, but it breaks down.

- Then it trades right back up into this candle's low; it doesn't need to go up to the body.

- On the propulsion candle, it's going to be very, very sensitive.

- It hits it, and you see immediate, quick responsiveness as you would expect.

CONCLUSION: THE POWER OF PROPULSION CANDLES

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- That's why I gave it the name 'propulsion candle' because it propels price quickly and suddenly.

- It gives you immediate feedback, very little drawdown, and immediate price responsiveness.

- That's exactly what short-term traders are looking for.

- Hopefully, this has been insightful. We're going to give more information as we go along in the months, and we start mapping out outlines and setups. We'll see exactly when to anticipate propulsion candles.